

Q1 2025 Quarterly Executive Report

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Q1 2025 Performance Overview

The first quarter of 2025 delivered strong results for the studio's theatrical slate. Total box office revenue reached \$2.35B against a combined production budget of \$755M, representing a portfolio ROI of 3.1x. Three titles — Stellar Run, Dark Orbit, and Iron Horizon — accounted for 78% of total revenue.

Stellar Run (\$820M) emerged as the clear standout, surpassing the studio's pre-release tracking estimate of \$640M by 28%. Its performance has been driven by exceptional audience word-of-mouth, a viral digital marketing campaign, and record-breaking opening weekend numbers in the Asia Pacific region, particularly Mumbai, which posted the highest engagement scores of any market globally in April 2025.

Dark Orbit (\$680M) performed in line with expectations for a franchise action title. However, audience completion rates were lower than projected at 61%, suggesting that while marketing drove strong opening attendance, the second-half narrative did not retain viewers. Last Kingdom (\$310M) outperformed its modest budget significantly and posted the highest critic rating of the quarter at 4.4/5, with a completion rate of 84% — the highest of any 2025 title to date.

Comedy Segment Analysis

The comedy segment continues to underperform against targets. Three comedy releases in Q1 2025 — Laughing Stock, Date Night Chaos, and Family Fumbles — collectively generated \$89M against a combined budget of \$130M, a -31% ROI.

Root cause analysis points to three compounding factors: (1) content-market fit mismatch — all three titles targeted the 18-24 demographic but were rated and marketed as broad family comedies; (2) competition from streaming originals in the same comedy space; (3) significantly lower marketing investment, averaging \$3.5M per comedy title versus \$22M for action titles.

Average comedy review ratings have declined to 2.4/5 for 2025 releases, down from 3.1/5 in 2024. Audience completion rates on streaming platforms for comedy titles average 41%, compared to 79% for drama and 65% for action.

Top Performing Markets

Mumbai recorded the highest engagement score globally in April 2025 at 92.4, followed by London (87.1) and New York (83.6). The Mumbai market has grown 34% year-over-year and now represents the studio's fastest-growing international market.

The Asia Pacific region as a whole contributed 31% of global revenue in Q1, up from 24% in Q1 2024. Sci-Fi titles drive disproportionate engagement in this region, with Stellar Run achieving a 2.1x viewership multiple in April relative to its Q1 average.

Strategic Priorities for Q2 2025

Based on Q1 performance data, leadership is recommended to action the following:

1. Increase Sci-Fi production pipeline. The genre achieves the highest revenue multiples and the most durable streaming engagement. Greenlight at least two additional Sci-Fi projects for 2026 release.
2. Restructure comedy development. Commission independent market research on comedy audience expectations before greenlighting. Consider co-production arrangements to reduce financial exposure until the segment recovers.
3. Prioritise Mumbai as a primary marketing market. Appoint a dedicated regional marketing lead. Explore theatrical partnership with local distributors.
4. Replicate Stellar Run's marketing playbook. The influencer-first, social-native campaign produced a 2.8x engagement uplift in the 30 days before release. This approach should be systematised for all future Sci-Fi and Action releases.